

2017

(a) Define money laundering as per Money Laundering Prevention Act 2012. How does a money launderer whiten the black money through the banking channel? Explain step by step. [7]

Answer:

Money Laundering Prevention Act 2012:

In 2012, Bangladesh had a new act passed in its parliament to prevent money laundering. In its description, money laundering was defined as follows—

“(i) knowingly moving, converting, or transferring property involved in an offence for the following purposes:—

(1) concealing or disguising the illicit nature, source, location, ownership or control of the proceeds of crime; or

(2) assisting any person involved in the

commission of the predicate offence to evade the legal consequences of such offence;

(ii) smuggling money or property earned through legal or illegal means to a foreign country;

(iii) knowingly transferring or remitting the proceeds of crime to a foreign country or remitting or bringing them into Bangladesh from a foreign country with the intention of hiding or disguising its illegal source; or

(iv) concluding or attempting to conclude financial transactions in such a manner so as to reporting requirements under this Act may be avoided;

(v) converting or moving or transferring property with the intention to instigate or assist for committing a predicate offence;

(vi) acquiring, possessing or using any property, knowing that such property is the proceeds of a predicate offence;

(vii) performing such activities so as to the illegal source of the proceeds of crime may be concealed or disguised;

(viii) participating in, associating with conspiring,

attempting, abetting, instigate or counsel to commit any offences mentioned above ; "

[Act No. 5 of 2012, 2(v)]

In short, we may say, money laundering is the process of making large amounts of money generated by a criminal activity appear to have come from a legitimate source.

Money Laundering via Banking Channel :

Typically money laundering involves three key steps as follow :-

- (i) Placement,
- (ii) Layering, and
- (iii) Integration.

To whiten the black money, one must engage in these 3 steps one by one, even when using banking channel to conduct the crime.

Next is described how one may launder money by these 3 steps :

(i) Placement :

The first stage of money laundering is known as "placement", whereby "dirty" money is placed into the legal, financial systems. After getting hold of illegally acquired funds through theft, bribery and corruption, financial criminals move the cash from its source.

In case of banking channel, criminal may place the money into legitimate financial system by creating ^{multiple} fake accounts in Banks, offshore accounts, or, using 'smurfs' (other people's) account in order to escape traces of identity.

(ii) Layering :

The second stage in the money laundering process is referred to as "layering". This involves a complex web of transactions to move money into the financial system, usually via offshore techniques.

Once the funds have been placed into the financial system, the criminals make it difficult for authorities

to detect laundering activity. It may be done by obscuring the audit trail through the strategic layering of financial transactions and fraudulent bookkeeping. The purpose here is to create multiple financial transactions to conceal the original source and ownership of the illegal funds.

(iii) Integration:

The third of the stages of money laundering is "integration". In case of banking channel, the money is withdrawn from the various onshore and offshore accounts. Thus, black money is now integrated back into the legitimate financial system as with a plausible explanation for where the money has come from.

At this stage, it is very difficult to distinguish between legal and illegal wealth. The launderer thus can use the money without getting caught from the laundering accomplished through above steps.

(b) ~~The~~ How criminal offences like terrorist financing and money laundering are expanding at an alarming rate all over the world? How would you suggest for combating against such types of criminal activities in the context of Bangladesh?

[7]

Answer:

Terrorist financing and Money Laundering:

Money laundering and terrorism financing are often linked. In the definition of money laundering, we often include the "underlying, profit-making criminal activity like - drug trafficking, fraud, theft", and often financing such crimes or concealing the proceeds of such crimes.

To define terrorist financing, we may say, provision, collection or receipt of funds with the intent or knowledge that the funds will be used to carry out an act of terrorism or any act intended to cause death or serious bodily injury, often conducted by terrorist group, can be defined as terrorist financing.

To contemplate the expansion of these crimes, we may opt to the next discussion.

Causes of increasing terrorist financing and money laundering:

Despite the creation of international monitoring organization like Financial Action Task Force (FATF) or, national level of attempt-introducing the PATRIOT Act in USA after Twin Tower tragedy, the problem of terrorist groups does not seem to be lessening any way, in some cases, rather increasing in extremum. The key reasons behind some of such activities are discussed below regarding the financing of terrorism via money laundering:

① Weaknesses in national regulatory system:

Several countries, specially the developing and underdeveloped ones, are high in corruption at the ruling class level. Due to this tendency, various loopholes are created inside the regulatory bodies to ensure escape of those bureaucrats. Often terrorist groups easily take advantage of them and pass wealth to finance according to their necessity.

② Unstable Political Climate:

One of the key reasons for which laws can't be nationally or internationally applied is due to political tension within or between certain regions. For example, according to recent Basel AML index, Afghanistan leads the world as the country with the highest AML risk, followed by Myanmar, another ^{politically} unstable country in Asia. Again, the tension between North Korea and USA causes \$174.8 million of funds to be laundered by the North Korean-linked organizations, from several US banks. It seems that unless nations make peace with one another, the end of money laundering and financing terrorist groups would not be even possible in a global level.

③ The Role of Cryptocurrency:

Recent years of the history has seen crypto-currency to be one of the many destinations of illicit funds from criminals. In 2019 alone, a total of \$2.8 billion in Bitcoin have been

moved by criminals. Due to the ease of identity theft and unregulated currency market, criminals find this medium suitable with advanced privacy features.

(4) The Role of Social Media:

From creating an onward polarized or segregated groups in a society through the affirmation-newsfeed-mechanism, to the unauthorized donation campaign through the large access of global charity organizations, social media in every way makes it tough to control financing terrorist activities, especially due to the addictive nature of misinformation among its users. Again, on these platforms it's incredibly easy to fake identities, or gather mules in order to initiate, run and successfully end financial frauds and withdraw money safely.

These are some reasons of expanding terrorist financing and money laundering globally at an alarming rate.

Combating the Financing of Terrorism in context of Bangladesh:

It's notable enough that, before passing anti-money-laundering acts, Bangladesh had passed anti-terrorism acts, at 2009 in its parliament. After which, this branch got expanded and became an independent investigation unit named Bangladesh Financial Intelligence unit (BFIU).

In the National Strategy for preventing money laundering and combating financing of Terrorism (2015-17), 11 strategic objectives and methods are discussed which can be followed to minimize terrorist financing via money laundering. They are -

Strategy 1: Updating national ML & TF risk assessment report regularly and introducing risk based approach of monitoring and supervision of all reporting organizations.

Strategy 2: Deterring corruption induced money laundering considering corruption as a high risk.

Strategy 3: Modernization of Border Control mechanism and depriving perpetrators from use of proceeds of crime to prevent smuggling of gold and drugs, human trafficking, other transnational organized crimes considering the risk thereon.

Strategy 4: Tackling illicit financial flows (IFF) by preventing the creation of proceeds of crime, curbing domestic and cross-border tax evasion and addressing trade based money laundering.

Strategy 5: Discouraging illicit fund transfer by increasing pace of stolen assets recovery initiatives and for recovering the evaded tax.

ML; money laundering
TF; terrorist financing

Strategy 6: Enhancing the capacity of BFIU in identifying and analyzing emerging ML & TF cases including ML & TF risks arising from the use of new technologies.

Strategy 7: Enhancing compliance of all reporting agencies with special focus on new reporting agencies like NGOs/NPOs and DNFBPs.

Strategy 8: Expanding investigative capacity and improving the quality of investigation and prosecution of ML & TF cases to deter the criminals.

Strategy 9: Establishing identification and tracing out mechanism of TF & PF and fully implementation of targeted financial sanctions related to TF & PF effectively.

Strategy 10: Boosting national and international coordination, both at policy and operational levels.

Strategy 11: Developing a transparent, accountable and inclusive financial system in Bangladesh.

[2016]

1. (a) What are the stages of money laundering? Discuss briefly. [4]

Answer: Money laundering is the process of making large amounts of money generated by a criminal activity, such as drug trafficking or terrorist funding, appear to have come from a legitimate source. The money from the criminal activity is considered dirty, and the process "launders" it to make it look clean.

The process of laundering money typically involves three steps:

(i) Placement, (ii) Layering, and (iii) Integration.

Following here are some brief discussion about these processes:

(i) Placement: This stage represents the initial entry of "dirty" cash into the financial system. In this stage, the launderer will relieve himself of holding and guarding large amount of bulky cash, and the money will be placed into the

legitimate financial system. However, the launderer is the most vulnerable at this stage as placing large amounts of cash into the system may raise suspicions of officials, and he may get caught.

(ii) Layering: This is the most complex stage and often entails the international movement of the funds. Here, the illicit money is separated from its source, this is done by sophisticated layering of financial transactions that obscure the audit trail and sever the link with original crime.

(iii) Integration: This is the final stage where money will be returned to the launderer from "seemingly" legitimate sources. The laundered money is now fully integrated into the legitimate financial system, and can be used for any purpose.

These three stages can take place separately, or may get overlapped into one another. Often launderers use different ways and mediums, where these stages for each medium entail each other into a complex web of transactions, to make it even harder to track any suspicious activity.

(b) Define terrorist financing as per Anti-Terrorism (amendment) Act, 2009. [3]

Answer:

In 2009, Bangladesh created Anti-Terrorism act for the first time. In the second chapter of this Act No. 16, ^{offence of} terrorist financing is defined as follows according to the 2013 amendment version:

"(1) If any person or entity willfully provides, receives, collects or makes arrangements for money, service or any other property, whether from legitimate or illegitimate source, by any means, directly or indirectly, with the intention that, in full or in part

(a) it will be used to carry out terrorist activity;

(b) it will be used for any purposes by terrorist person or entity or in the knowledge that they are to be used by terrorist person or entity;

the said person or entity shall commit the offence of terrorist financing." [7(1), Ch-2, Act No. 16]

In the previous section 6, such terrorist activities are defined as creating panic; killing / attempting to kill, damaging person, entity, state / attempting to do so; injuring, conspiring or possessing explosive / inflammable substance and arms for above purposes, loosely stating.

(c) Why we must combat money laundering and terrorist financing in the context of Bangladesh? Briefly outline. [7]

Answer: Money laundering is sometimes the sole way of criminal assistance in financial term not only in Bangladesh, but for the whole world. In the context of Bangladesh, this may have certain structure. The use of the underground "hundi" system, which is used to transfer money and valuables outside of the regular banking system, is most commonly used by migrant Bangladeshi workers. This is a crucial vulnerability for money laundering.

On the Basel Anti-money Laundering (AML) Index 2021, Bangladesh was placed 33rd out of 110 countries. Since last year, Bangladesh has made progress in combating money laundering and terrorist funding issues, but the country remains at high risk.

To understand the importance of combating ML & TF in Bangladesh, we must understand the impacts of money laundering as follows:

I. Economic Impact:

① Black money's uncertain transactions have negative impact on any economy's monetary policy. It signals necessary measures are not being taken to address budget deficit and inflation properly.

② Price instability generated by black money in the banking system would damage

economy's external credibility. Rational businesses would find it inconvenient to invest in such economy on the risk taking parameters,

③ Significant tax frauds and unaddressed income would shrink the country's tax revenue. This further co-operates to widen budget deficit.

④ Financial institutions used in the ML scam may face sudden upsurge or falls in their assets and obligations, posing a risk to function properly.

II. Social Impact :

① Increased tax burden on the middle class and honest tax payers increases as a result of ML. Again, these people also suffer from inflation caused by the same evil.

② The direct effect of terrorist financing is downright threatening on a social

level. Young generation fall in trap of criminal activities $\therefore$ costing a huge moral loss of youth generation that has a long term negative effect on the society.

③ The smuggling and drug abusive businesses also hamper the stability and safety inside the society causing a burden, either in increasing health care terms or in terms of criminal offences on daily basis.

III. Impact in Law and Order,

① Foreign involvement in ML shrinks a country's national reserve.

② Increasing crime and unlawful conduct becomes more accessible because of money laundering. It provides drug dealers, smugglers, terrorists, illegal

arm dealers, corrupt government officials the fuel they need to operate and expand their criminal operations,

A single incident of terrorist activity largely affects the country's image on both national and international level. Various threat groups from within and beyond borders find the region a suitable hub and also diplomat from friendly or hostile countries try to translate the situation in their favor. In those light, it is very necessary to ensure such activities do not take place inside a country.

Being victim of many incidents where terrorism had spread and money, in large scales, have been laundered both by citizens and foreign criminals, Bangladesh is at the risk of such ML

and TF activity. Seeing those records
and aftermaths, it is highly necessary
to combat ML and TF with needed
protocols as much as possible.

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